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Rubrik (RBRK)
Cyber Resilience at a Perfection Price

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A superb business at an unsupportable price. Our **$107** blended target sits 13% below the market, and the Bull case's $145 sits 18% above the $123.07 reference price.

SELL	$107	−13%	$123.07
INVESTMENT RATING	BLENDED TARGET	BLENDED DOWNSIDE	REFERENCE PRICE

The market prices roughly 48% five-year revenue growth. Our Bull case assumes 30%. The 13% selloff after a clean beat-and-raise quarter tells us expectations, not execution, are the risk.

$RBRK Q2 FY2027 earnings: beat and raise, but the price demands perfection

Rubrik delivered a beat-and-raise quarter: revenue of $427 million (+38% year over year, 43% normalized), subscription ARR of $1.66 billion (+33%), and raised guidance across every metric, including full-year revenue growth of 28.3% and free cash flow margin of 19.4%. Cloud ARR grew 39% to $1.48 billion, now 90% of subscription ARR, while the non-GAAP ARR contribution margin expanded to 14.0% from 9.4%. Not flawless: free cash flow margin decelerated sequentially from 19% to 15%, and the agentic AI pivot arrives with no quantified revenue contribution. Execution is superb; the price is the problem.

Bull case

- **Cloud dominance.** Cloud ARR $1.48B, +39% year over year, nearly 90% of subscription ARR. Net new cloud ARR +20% ex-migrations. Land-and-expand is working.
- **Scaling profitability.** ARR contribution margin 14.0% vs 9.4% a year ago; non-GAAP EPS $0.20 vs a $(0.03) loss. Operating leverage is real.
- **Raised across the board.** Revenue, ARR, margin, cash flow, and EPS guidance all moved higher on a robust pipeline.

Bear case

- **Perfection priced in.** At $123.07 the market implies ~48% five-year revenue growth, above our 30% Bull case. No room for a stumble.
- **Cash conversion wobbles.** FCF margin fell 19% to 15% sequentially. The 19.4% full-year guide needs a sharp second-half ramp.
- **AI narrative vs. reality.** Agent Cloud is sound but nascent, unquantified, and launching into a crowded field.

Verdict: Sell. We admire the business and would revisit it on a meaningful pullback. At $123.07, the shares discount growth that neither our scenarios nor the broader market's own targets support. Consensus sits near $116, itself below the market.

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Key themes

Rubrik Agent Cloud establishes the AI governance bid ACCELERATING [NEW]

Rubrik launched Rubrik AI, expanding Rubrik Agent Cloud alongside an Anthropic Claude Code integration, targeting autonomous runtime AI security and governance under its SAGE framework. Features like Agent Rewind and Identity Roll Forward move the company from passive data recovery toward active, autonomous remediation, positioning it to capture new CISO budget dedicated to securing enterprise AI agent deployments. We treat this as strategically important and financially unproven: management offered no timeline for material net new ARR contribution, and every major security, infrastructure, and observability vendor is launching a competing AI control plane. The right to win this budget has to be earned against endpoint and network incumbents, not assumed from data heritage.

Relentless enterprise cloud expansion ACCELERATING

Cloud ARR remains the primary engine at $1.48 billion, up 39% year over year, with net new cloud ARR up 20% excluding migrations. Customers with $100K+ in subscription ARR grew 23% to 3,084, confirming the enterprise land-and-expand motion. The cloud transformation is nearly complete at 90% of subscription ARR, which means future growth must come from genuine expansion rather than migration tailwinds. So far it is.

Identity resilience cross-sell ACCELERATING

Advanced identity threat capabilities, bolstered by the Strata.io acquisition, are proving an effective cross-sell. Identity Roll Forward and Identity Continuity protect Active Directory and Entra ID environments against identity-based attacks, driving expansion within existing accounts and supporting net retention. Identity took a few quarters to inflect historically; the same patience applies to the agent security suite.

Material-rights revenue headwind fades REVERSING

Reported revenue growth of 38% was suppressed by expiring material-rights revenue from legacy cloud migrations: $4.7 million this quarter versus $14.2 million a year ago. On a normalized basis, growth was an accelerating 43%. This accounting drag persists through FY2027, so headline optics will continue to understate operational momentum. We focus on the normalized number.

Free cash flow margin contradicts the leverage story DECELERATING

Management touted improving operating leverage, citing the 14.0% subscription ARR contribution margin. Yet free cash flow margin decelerated sequentially from 19% to 15%, with free cash flow of $65.7 million down from $73.6 million in Q1. If we were on the call, this is where we would press: what working capital dynamics or scaling investments absorbed the cash, and what specifically underwrites the implied 20% exit rate behind the $323 to $333 million full-year guide? Until that bridge is explicit, we treat the second-half ramp as an assumption, not a fact.

Insulation from hardware macro STABLE

Management maintains that the software-centric model and the non-discretionary nature of cyber resilience spending insulate Rubrik from server constraints and enterprise hardware cost inflation. We find this credible: backup and recovery budgets do not get cut when servers get expensive. It is a relative advantage, not a growth driver.

Other KPIs

$427M Q2 REVENUE, +38%	**$1.66B** SUBSCRIPTION ARR, +33%	**$1.48B** CLOUD ARR, +39%	**81.0%** NON-GAAP GROSS MARGIN	**$0.20** NON-GAAP EPS	**$65.7M** FREE CASH FLOW
14.0% ARR CONTRIB. MARGIN	**3,084** $100K+ CUSTOMERS, +23%	**$1.75B** CASH BALANCE	**43%** NORMALIZED REV. GROWTH	**~120%** NET RETENTION (SUB.)	**Oct. 7 2026** NOTE DATE

Guidance

Q3 FY2027 revenue $429 to $431 million STABLE — roughly flat sequentially, implying about 31% normalized growth as material rights continue to phase out. **FY2027 subscription ARR $1.880 to $1.885 billion** ACCELERATING — about 29% growth on a much larger denominator. **FY2027 non-GAAP subscription ARR contribution margin near 15.5%** ACCELERATING — a heavy second-half leverage assumption. **FY2027 free cash flow $323 to $333 million** ACCELERATING — about 19% margin, requiring the sequential recovery discussed above. **FY2027 non-GAAP EPS $0.47 to $0.53**, raised 67% at the midpoint.

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Three scenarios make the valuation range explicit

The DCF compounds $1.32B FY2026 revenue at 22% to 30% through 2028, gliding to 5% to 7% by 2035, with EBIT margins ramping from 6% to 25% / 28% / 30%.

SCENARIO	WEIGHT	2026–28 GROWTH	2035 REVENUE	2035 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	22.0%	$5.4B	25.0%	**$74**	−40%
Base	50%	26.0%	$6.8B	28.0%	**$104**	−15%
Bull	25%	30.0%	$8.5B	30.0%	**$145**	+18%

Bear: Growth fades faster as competition intensifies and the AI suite fails to monetize; margins stall at 25%.

Base: The cyber resilience franchise compounds near consensus, with EBIT margins reaching 28% at scale.

Bull: Rubrik captures the agentic AI security plane, sustaining 30% growth with 30% EBIT margins.

The probability-blended target implies 13% downside

Blended target: $107 per share

A 25% Bear / 50% Base / 25% Bull weighting implies 13% downside from the $123.07 reference price. Even the Bull case sits 18% above the market.

$107
BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year DCF covering 2026–2035. Revenue compounds from the $1.32B FY2026 base at 22% / 26% / 30% through 2028, gliding to 5% / 6% / 7% by 2035. EBIT margins ramp from 6% to 25% / 28% / 30%. Unlevered free cash flow equals EBIT at a 15% cash tax rate, plus stock-based compensation (20% / 18% / 16% of revenue), plus D&A, less capex and working capital investment. Terminal value averages a Gordon perpetuity on 2035 free cash flow at 3% growth with an EV/EBITDA exit multiple of 15x / 20x / 25x on 2035 EBITDA.

The discount rate is the live CAPM rate: the 10-year Treasury near 5.25% plus a 1.14 beta times a 3.63% equity risk premium, about 9.4% for all scenarios. We keep the live market-implied rate rather than normalizing it away. Targets divide by terminal diluted shares, growing at 2% a year from the 206.1M Q2 FY2027 base, which keeps dilution honest in the per-share math.

FY2026 revenue base	**$1.32B**
Valuation horizon	**2026–2035**
Live WACC (Oct. 2026)	**~9.4%**
Terminal growth / exit	**3% / 15–25x**
Net cash (Q2 FY2027)	**$0.62B**
2035 FCF/sh (Base)	**$11.19**

The reverse DCF: the market prices more than Bull

At $123.07, Rubrik carries a market capitalization near $25.4B and, with $0.62B of net cash, an implied enterprise value near $24.7B. Holding the base-case free cash flow margin path and the live 9.4% discount rate constant, that enterprise value requires about **48% revenue CAGR** over five years, far above the Bull case's 30%. The market is underwriting a growth trajectory no reasonable scenario supports. See the Reverse DCF tab in the model workbook.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield via GOOGLEFINANCE plus beta × equity risk premium: a 1.14 beta and a 3.63% ERP give roughly 9.4% WACC at current yields, applied to all scenarios. Terminal value averages Gordon growth (3%) and the EV/EBITDA exit multiple. The $107 headline target applies 25% / 50% / 25% Bear / Base / Bull weights to targets computed on terminal diluted shares. The reverse DCF interpolates the market-implied five-year revenue CAGR from a sensitivity table using the base-case margin ramp.

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The bear case

Expectations, not execution
The primary risk is the price itself. At 17.5x TTM revenue with 48% five-year growth implied, any deceleration, no matter how modest, invites a sharp derating. The 13% post-earnings selloff on a beat-and-raise is the template.

Incumbent displacement
Veeam and Cohesity defend the legacy backup base on price, while hyperscalers bundle adjacent resilience. Displacement cycles are long and discount-heavy.

Cash conversion credibility
The sequential free cash flow margin decline from 19% to 15% sits uneasily beside leverage claims. If the second-half ramp falters, the growth story loses its quality anchor.

Crowded AI control plane
Rubrik Agent Cloud launches into a field where CrowdStrike, Palo Alto Networks, and every observability vendor claim the same budget. Data heritage does not guarantee the right to win autonomous runtime spend.

Stock-based compensation
SBC ran 19% to 24% of revenue in recent quarters. It is added back to free cash flow, but it is a real and ongoing claim on shareholders through dilution, which our per-share math captures at 2% a year.

Multiple compression
High-multiple software derates violently when rates rise or growth disappoints. A 9.4% discount rate already reflects elevated yields; further pressure would cut all three scenario targets.

The strengths

Category-defining franchise
The shift from legacy backup to active cyber resilience is structural, and Rubrik is its clearest pure play, with 33% ARR growth and 120% net retention.

Fortress balance sheet
$1.75 billion of cash against $1.13 billion of converts leaves $0.62 billion of net cash and full strategic optionality, including M&A like Strata.io.

Cloud execution
Cloud ARR at $1.48 billion growing 39% with 90% of the mix shows the transformation is complete and the expansion engine is genuine.

Identity optionality
The identity resilience suite is inflecting as a cross-sell and could become a second growth leg if the agent security narrative converts to ARR.

Admire the business, respect the price

Investment view: Sell. The $107 blended target implies 13% downside, balancing the $74 / $104 / $145 Bear / Base / Bull outcomes, and the market prices growth above even the Bull case. We would revisit the shares on a meaningful pullback toward our Base case.

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